Target Corp. (NYSE: TGT US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 133.97**
TARGET PRICE	**$ 147.93**
IMPLIED UPSIDE	**+10%**

Investment Highlights

✓ Resilient omnichannel retail platform ✓ Margin recovery supported by operational efficiencies

✓ Consistent dividend backed by healthy cash flows ✓ Strong owned-brand portfolio and customer loyalty

✓ Attractive valuation with long-term upside potential

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EXECUTIVE SUMMARY

A. Investment Case

Target Corporation remains a high-quality value investment supported by its strong market position within the U.S. mass merchandise retail industry, integrated omnichannel platform and resilient cash-generating business model. Despite short-term pressure on profitability following the post-pandemic normalisation in consumer spending, the company continues to demonstrate stable revenue generation, disciplined capital allocation and consistent shareholder returns. Its attractive valuation, sustainable dividend profile and long-term earnings resilience align closely with the investment philosophy of the Value Stock Portfolio, which focuses on fundamentally strong companies trading below their intrinsic value.

B. Key Catalysts

The primary catalysts supporting the investment thesis include the gradual recovery in operating profitability, continued expansion of digital commerce, growth in higher-margin owned brands and ongoing supply chain optimisation. These initiatives are expected to support steady financial improvement, with revenue forecast to increase from **USD 106.6 billion in FY2025** to approximately **USD 110.6 billion by FY2028**, alongside a recovery in EBITDA from **USD 8.2 billion** to **USD 9.0 billion** over the same period. Free Cash Flow is projected to improve from **USD 3.3 billion in FY2026** to approximately **USD 4.4 billion by FY2031**, strengthening Target's capacity to fund dividends, strategic investments and long-term shareholder returns.

C. Financial Highlights

Target's financial performance reflects a business transitioning from post-pandemic earnings normalisation towards sustainable long-term growth. While revenue has remained resilient, profitability and cash generation are expected to improve gradually as operating efficiencies and margin recovery take effect. The company maintains a strong liquidity position, with cash and cash equivalents forecast to increase to approximately **USD 5.5 billion in FY2026**, supporting financial flexibility and reinforcing the investment thesis centred on resilient cash flow generation rather than aggressive top-line growth.

D. Valuation

The valuation analysis indicates that Target continues to trade below its intrinsic value. The Discounted Cash Flow model estimates a fair value of **USD 147.93 per share**, representing an implied upside of approximately **10.4%**relative to the current market price of **USD 133.97**. The EV/EBITDA valuation estimates a fair value of **USD 142.37 per share**, implying a **6.3%** upside. The consistency across both valuation methodologies strengthens confidence that the current market valuation does not fully reflect Target's long-term earnings and free cash flow potential.

E. Recommendation Summary

Target continues to satisfy the key characteristics of a value investment through its attractive valuation, resilient Free Cash Flow generation, disciplined capital allocation and consistent dividend policy. While near-term risks remain from consumer spending and competitive pressures, the company's financial forecasts support a gradual recovery in earnings and cash generation. Given the upside indicated by both valuation methodologies and Target's strong strategic position within the retail sector, we recommend **BUY.**

BUSINESS ANALYSIS

A. Business Overview

Target Corporation is one of the largest general merchandise retailers in the United States, operating nearly 2,000 stores alongside an integrated omnichannel platform that combines in-store shopping, digital commerce and same-day fulfilment services. Its merchandise portfolio spans essentials such as food and household products as well as higher-margin discretionary categories including apparel, beauty and home furnishings. This diversified business model provides multiple revenue streams and enhances customer engagement across economic cycles.

From a portfolio perspective, Target represents a mature, cash-generative retailer with a strong market position and a long history of returning capital to shareholders through consistent dividend payments and share repurchases. Combined with its attractive valuation, these characteristics make Target a suitable holding within a value-oriented investment portfolio.

B. Strategy & Key Value Drivers

Target's long-term strategy is centred on strengthening its omnichannel capabilities, expanding private-label brands and improving operational efficiency through investments in its supply chain and store network. By integrating physical stores with digital fulfilment services such as Drive Up, Order Pickup and same-day delivery, the company enhances customer convenience while leveraging its existing retail footprint to reduce fulfilment costs.

The primary drivers of long-term shareholder value include continued growth in digital sales, higher-margin owned brands, disciplined cost management and stable cash flow generation. These initiatives support earnings resilience and reinforce Target's ability to sustain dividend growth, aligning well with the objectives of a value investment strategy.

C. Business Moat & Sustainable Competitive Advantage

Target's competitive advantage is derived from its nationally recognised brand, extensive store network, differentiated private-label portfolio and integrated omnichannel ecosystem. Its stores serve both as retail locations and fulfilment centres, enabling faster delivery and lower last-mile costs than many competitors. Strong customer loyalty and exclusive owned brands further differentiate Target in an increasingly competitive retail market.

These structural advantages support stable cash generation and improve the company's ability to maintain profitability across varying economic conditions. Combined with disciplined capital allocation, they strengthen Target's long-term investment case and justify its inclusion within a value-focused portfolio.

D. SWOT Analysis

Strengths

- Strong brand and diversified merchandise portfolio
- Integrated omnichannel platform
- Consistent shareholder returns via dividends

Weaknesses

- Exposure to discretionary consumer spending
- Inventory management challenges
- Competitive pricing pressure

Opportunities

- Growth in digital commerce
- Supply chain optimisation
- Expansion of owned brands

Threats

- Persistent inflation pressuring spend
- Shifting consumer spending patterns
- Competition from Walmart, Costco and Amazon

TARGET

INDUSTRY ANALYSIS

A. Sector Outlook

Target operates within the U.S. mass merchandise retail industry, a mature but resilient sector supported by stable consumer demand and the continued integration of digital and physical retail channels. Long-term industry growth is expected to be driven by omnichannel retailing, supply chain automation and increasing consumer preference for convenience-based shopping. Retailers with strong store networks, efficient fulfilment capabilities and differentiated product offerings are expected to outperform as competition intensifies.

Target is well positioned to benefit from these structural trends through its nationwide store footprint, integrated omnichannel platform and portfolio of owned brands. These competitive advantages support long-term revenue stability and reinforce the company's investment appeal as a value-oriented retailer with sustainable cash flow generation.

B. Business Cycle

The retail industry is inherently cyclical, with demand closely linked to consumer confidence, disposable income and broader economic conditions. During periods of economic uncertainty, consumers typically shift spending towards essential goods while reducing discretionary purchases, placing pressure on retailers with significant exposure to non-essential categories.

Target's diversified product mix, which combines essential everyday items with higher-margin discretionary merchandise, provides greater resilience across business cycles than retailers focused on a single category. As consumer spending gradually normalises, the company is well positioned to benefit from recovering discretionary demand while maintaining stable revenue from essential products, supporting long-term earnings recovery.

C. Supply Chain Analysis

Target has developed an integrated supply chain supported by regional distribution centres, fulfilment facilities and its nationwide store network, allowing stores to function as both retail locations and fulfilment hubs. This operating model enhances inventory availability, shortens delivery times and improves fulfilment efficiency while reducing last-mile logistics costs.

Although the retail industry remains exposed to supply chain disruptions, transportation costs and inventory management risks, Target's continued investment in automation and supply chain optimisation strengthens operational efficiency and supports margin stability. These capabilities enhance the company's ability to generate consistent cash flows, an important characteristic for inclusion in a value investment portfolio.

D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
TGT US Equity	TARGET CORP	65626.07377	80923.07377	9.880717188	18.10946487	21.6178	3.15614614
WMT US Equity	WALMART INC	884938.402	955033.402	20.72371248	41.21256752	70.65518	0.867805732
CTC/A CN Equity	CANADIAN TIRE CORP-CLASS A	7648.222969	13573.75726	8.550918434	16.19861738	15.4441	3.506842713
DG US Equity	DOLLAR GENERAL CORP	28025.5335	42470.8215	7.952402133	17.89342407	12.70452	1.85753632

FUNDAMENTAL ANALYSIS

A. Income Statement

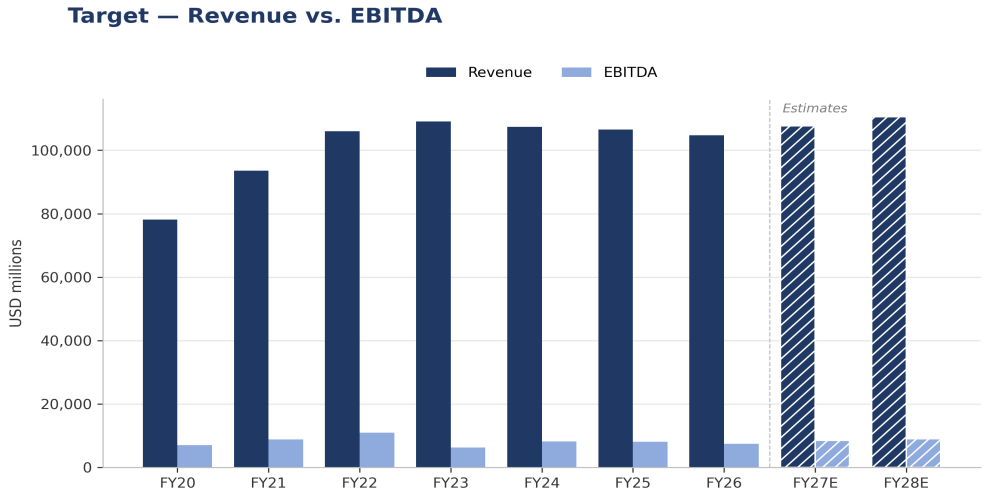
Target has demonstrated resilient revenue generation despite a challenging consumer spending environment. Revenue increased from **USD 78.1 billion in FY2020** to a peak of **USD 109.1 billion in FY2023**, before moderating to **USD 106.6 billion in FY2025**. Consensus forecasts indicate a gradual recovery, with revenue expected to reach approximately **USD 110.6 billion by FY2028**, reflecting stable customer demand and continued omnichannel growth.

While top-line performance has remained resilient, profitability has normalised following the unusually strong post-pandemic period. EBITDA increased from **USD 7.5 billion in FY2020** to **USD 11.7 billion in FY2022**, before declining to **USD 8.2 billion in FY2025** as inflation, higher operating costs and weaker discretionary spending compressed margins. Forecast EBITDA is expected to recover gradually to approximately **USD 9.0 billion by FY2028**, indicating improving operating efficiency and margin stabilisation.

For a value investor, this earnings recovery supports the view that recent profitability pressures are cyclical rather than structural, reinforcing confidence in Target's long-term earnings power.

Target Corp (TGT US) - BBG Adjusted

In Millions of USD except Per Share 12 Months Ending	FY 2020 02/01/2020	FY 2021 01/30/2021	FY 2022 01/29/2022	FY 2023 01/28/2023	FY 2024 02/03/2024	FY 2025 02/01/2025	FY 2026 01/31/2026	Last 12M 05/02/2026	FY 2027 Est 01/31/2027	FY 2028 Est 01/31/2028
Revenue	**78,112.0**	**93,561.0**	**106,005.0**	**109,120.0**	**107,412.0**	**106,566.0**	**104,780.0**	**106,377.0**	**107,710.9**	**110,578.3**
+ Sales & Services Revenue	77,130.0	92,400.0	104,611.0	107,588.0	105,803.0	104,820.0	102,717.0	104,162.0		
+ Other Revenue	982.0	1,161.0	1,394.0	1,532.0	1,609.0	1,746.0	2,063.0	2,215.0		
- Cost of Revenue	54,864.0	66,177.0	74,963.0	82,229.0	77,736.0	76,502.0	75,511.0	76,444.0		
+ Cost of Goods & Services	54,864.0	66,177.0	74,963.0	82,229.0	77,736.0	76,502.0	75,511.0	76,444.0		
Gross Profit	**23,248.0**	**27,384.0**	**31,042.0**	**26,891.0**	**29,676.0**	**30,064.0**	**29,269.0**	**29,933.0**	**30,249.5**	**31,091.3**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	18,607.0	20,817.0	22,422.0	23,043.0	23,867.0	24,498.0	24,495.0	24,903.0		
+ Selling, General & Admin	16,233.0	18,615.0	19,752.0	20,658.0	21,554.0	21,969.0	21,878.0	22,417.0		
+ Research & Development	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Depreciation & Amortization	2,357.0	2,230.0	2,344.0	2,385.0	2,415.0	2,529.0	2,617.0	2,647.0		
+ Other Operating Expense	17.0	-28.0	326.0	-86.0	-102.0	0.0	0.0	-161.0		
Operating Income (Loss)	**4,641.0**	**6,567.0**	**8,620.0**	**3,848.0**	**5,809.0**	**5,566.0**	**4,774.0**	**5,030.0**	**5,342.0**	**5,633.1**
- Non-Operating (Income) Loss	417.0	462.0	39.0	430.0	410.0	305.0	350.0	361.0		
+ Interest Expense, Net	477.0	977.0	421.0	478.0	502.0	411.0	445.0	447.0		
+ Interest Expense	*477.0*	*977.0*	*421.0*	*478.0*	*502.0*	*411.0*	*445.0*	*447.0*		
- Interest Income	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*		
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ Other Non-Op (Income) Loss	-60.0	-515.0	-382.0	-48.0	-92.0	-106.0	-95.0	-86.0		
Pretax Income (Loss), Adjusted	**4,224.0**	**6,105.0**	**8,581.0**	**3,438.0**	**5,399.0**	**5,261.0**	**4,424.0**	**4,669.0**	**5,000.7**	**5,252.5**



B. Balance Sheet

Target continues to maintain a solid liquidity position despite operating in a capital-intensive retail environment. Cash and cash equivalents increased from **USD 2.2 billion in FY2023** to **USD 5.5 billion in FY2026**, reflecting stronger cash retention and improving financial flexibility.

The company's conservative balance sheet enables continued investment in store modernisation, supply chain infrastructure and digital capabilities while supporting shareholder returns through dividends and share repurchases. This financial stability reduces refinancing risk and positions Target to navigate periods of weaker consumer demand without materially compromising long-term growth initiatives.

A strong liquidity position is particularly attractive within a value portfolio, as it enhances resilience across economic cycles while preserving capital allocation flexibility.

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In Millions of USD except Per Share 12 Months Ending	FY 2017 01/28/2017	FY 2018 02/03/2018	FY 2019 02/02/2019	FY 2020 02/01/2020	FY 2021 01/30/2021	FY 2022 01/29/2022	FY 2023 01/28/2023	FY 2024 02/03/2024	FY 2025 02/01/2025	FY 2026 01/31/2026
Total Assets										
+ Cash, Cash Equivalents & STI	2,512.0	2,643.0	1,556.0	2,577.0	8,511.0	5,911.0	2,229.0	3,805.0	4,762.0	5,488.0
+ Cash & Cash Equivalents	2,512.0	2,643.0	1,556.0	2,577.0	8,511.0	5,911.0	2,229.0	3,805.0	4,762.0	5,488.0
+ ST Investments	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Accounts & Notes Receiv	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Accounts Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inventories	8,309.0	8,597.0	9,497.0	8,992.0	10,653.0	13,902.0	13,499.0	11,886.0	12,740.0	12,304.0
+ Other ST Assets	1,169.0	1,300.0	1,466.0	1,333.0	1,592.0	1,760.0	2,118.0	1,807.0	1,952.0	2,213.0
+ Prepaid Expenses	—	157.0	157.0	154.0	171.0	170.0	188.0	201.0	226.0	223.0
+ Derivative & Hedging Assets	39.0	23.0	19.0	62.0	38.0	52.0	27.0	25.0	23.0	18.0
+ Discontinued Operations	—	—	—	—	—	—	—	—	—	—
+ Misc ST Assets	1,130.0	1,120.0	1,290.0	1,117.0	1,383.0	1,538.0	1,903.0	1,581.0	1,703.0	1,972.0
Total Current Assets	**11,990.0**	**12,540.0**	**12,519.0**	**12,902.0**	**20,756.0**	**21,573.0**	**17,846.0**	**17,498.0**	**19,454.0**	**20,005.0**
+ Property, Plant & Equip, Net	24,658.0	26,420.0	27,498.0	28,519.0	29,106.0	30,737.0	34,169.0	36,458.0	36,785.0	37,452.0
+ Property, Plant & Equip	42,071.0	44,818.0	46,185.0	48,183.0	49,384.0	51,874.0	56,800.0	60,871.0	63,062.0	65,842.0
- Accumulated Depreciation	17,413.0	18,398.0	18,687.0	19,664.0	20,278.0	21,137.0	22,631.0	24,413.0	26,277.0	28,390.0
+ LT Investments & Receivables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other LT Assets	783.0	1,343.0	1,273.0	1,358.0	1,386.0	1,501.0	1,320.0	1,400.0	1,530.0	2,033.0
+ Total Intangible Assets	259.0	709.0	699.0	686.0	668.0	656.0	645.0	639.0	631.0	631.0
+ *Goodwill*	*133.0*	*630.0*	*633.0*	*633.0*	*631.0*	*631.0*	*631.0*	*631.0*	*631.0*	*631.0*
+ *Other Intangible Assets*	*126.0*	*79.0*	*66.0*	*53.0*	*37.0*	*25.0*	*14.0*	*8.0*	*0.0*	*0.0*
+ Derivative & Hedging Assets	4.0	0.0	10.0	137.0	188.0	135.0	7.0	0.0	0.0	0.0
+ Prepaid Pension Costs	—	—	—	—	—	—	—	—	—	—
+ Discontinued Operations	—	—	—	—	—	—	—	—	—	—
+ Misc LT Assets	520.0	634.0	564.0	535.0	530.0	710.0	668.0	761.0	899.0	1,402.0
Total Noncurrent Assets	**25,441.0**	**27,763.0**	**28,771.0**	**29,877.0**	**30,492.0**	**32,238.0**	**35,489.0**	**37,858.0**	**38,315.0**	**39,485.0**
Total Assets	**37,431.0**	**40,303.0**	**41,290.0**	**42,779.0**	**51,248.0**	**53,811.0**	**53,335.0**	**55,356.0**	**57,769.0**	**59,490.0**

C. Cash Flow

Free Cash Flow remains one of Target's most important investment strengths despite short-term volatility. After reaching **USD 7.9 billion in FY2021**, Free Cash Flow declined sharply to **negative USD 1.5 billion in FY2023**, primarily reflecting elevated inventory investment and working capital pressures. The company subsequently recovered to **USD 4.5 billion in FY2025**, with forecasts indicating stable Free Cash Flow of approximately **USD 3.0 billion by FY2028**.

The recovery demonstrates management's ability to restore cash generation following a difficult operating environment. Consistent Free Cash Flow provides the financial capacity to sustain dividend payments, invest in strategic initiatives and maintain disciplined capital allocation, supporting Target's inclusion within a value-focused investment portfolio.

Target Corp (TGT US) - Standardized

In Millions of USD except Per Share 12 Months Ending	FY 2018 02/03/2018	FY 2019 02/02/2019	FY 2020 02/01/2020	FY 2021 01/30/2021	FY 2022 01/29/2022	FY 2023 01/28/2023	FY 2024 02/03/2024	FY 2025 02/01/2025	FY 2026 01/31/2026	Last 12M 05/02/2026
Cash from Operating Activities										
+ Net Income	2,914.0	2,937.0	3,281.0	4,368.0	6,946.0	2,780.0	4,138.0	4,091.0	3,705.0	3,451.0
+ Depreciation & Amortization	2,476.0	2,474.0	2,604.0	2,485.0	2,642.0	2,700.0	2,801.0	2,981.0	3,134.0	3,160.0
+ Non-Cash Items	99.0	250.0	382.0	477.0	404.0	996.0	558.0	-158.0	-368.0	-516.0
+ Stock-Based Compensation	112.0	132.0	147.0	200.0	228.0	220.0	251.0	304.0	281.0	266.0
+ Deferred Income Taxes	-188.0	322.0	178.0	-184.0	522.0	582.0	298.0	-180.0	-55.0	82.0
+ Other Non-Cash Adj	175.0	-204.0	57.0	461.0	-346.0	194.0	9.0	-282.0	-594.0	-864.0
+ Chg in Non-Cash Work Cap	1,378.0	316.0	844.0	3,195.0	-1,367.0	-2,458.0	1,124.0	453.0	91.0	908.0
+ (Inc) Dec in Accts Receiv	0.0	—	—	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ (Inc) Dec in Inventories	-348.0	-900.0	505.0	-1,661.0	-3,249.0	403.0	1,613.0	-854.0	436.0	731.0
+ Inc (Dec) in Accts Payable	1,307.0	1,127.0	140.0	2,925.0	2,628.0	-2,237.0	-1,216.0	1,008.0	-501.0	286.0
+ Inc (Dec) in Other	419.0	89.0	199.0	1,931.0	-746.0	-624.0	727.0	299.0	156.0	-109.0
+ Net Cash From Disc Ops	68.0	-4.0	6.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Operating Activities	**6,935.0**	**5,973.0**	**7,117.0**	**10,525.0**	**8,625.0**	**4,018.0**	**8,621.0**	**7,367.0**	**6,562.0**	**7,003.0**

D. Return on Capital

Target continues to generate attractive returns on shareholder capital, although profitability has normalised from the exceptional levels achieved during the pandemic-driven demand surge. Return on Equity peaked at **50.9% in FY2022**before moderating to **24.0% in FY2026**, while Return on Capital declined from **24.7%** to **11.4%** over the same period.

Although returns have moderated, they remain comfortably above pre-pandemic levels, reflecting the company's efficient operating model, disciplined capital allocation and strong competitive position. The ability to continue generating double-digit returns on invested capital supports long-term value creation and reinforces Target's suitability as a high-quality value investment.

In Millions of USD except Per Share 12 Months Ending	FY 2017 01/28/2017	FY 2018 02/03/2018	FY 2019 02/02/2019	FY 2020 02/01/2020	FY 2021 01/30/2021	FY 2022 01/29/2022	FY 2023 01/28/2023	FY 2024 02/03/2024	FY 2025 02/01/2025	FY 2026 01/31/2026
Returns										
Return on Common Equity	22.89	25.78	25.60	28.37	33.25	50.95	23.11	33.56	29.12	24.03
Return on Assets	7.05	7.50	7.20	7.81	9.29	13.22	5.19	7.61	7.23	6.32
Return on Capital	13.81	14.08	13.25	14.45	18.56	24.72	10.63	14.29	13.05	11.41
Return on Invested Capital	13.19	13.62	13.04	13.89	17.91	22.64	9.74	12.84	11.67	10.28

DISCOUNTED CASH FLOW (DCF) VALUATION

A. Free Cash Flow Projection

Target's valuation is supported by stable long-term cash generation despite near-term earnings normalisation. Free Cash Flow is forecast to recover from **USD 3.3 billion in FY2026** to approximately **USD 4.4 billion by FY2031**, reflecting improving operating performance, disciplined capital expenditure and more efficient working capital management. The steady improvement in cash generation underpins the company's ability to sustain dividend payments while continuing to invest in store modernisation and omnichannel capabilities, reinforcing its long-term value creation potential.

In Millions of USD		Jan 21 A	Jan 22 A	Jan 23 A	Jan 24 A	Jan 25 A	Jan 26 A	Jan 27 A	Jan 28 A	Jan 29 A	Jan 30 A	Jan 31 A	Jan 32 A	Year 5
Revenue (Estimate Comparable)		**93,561**	**106,005**	**109,120**	**107,412**	**106,566**	**104,780**	**107,711**	**110,578**	**113,176**	**117,184**	**120,248**	**123,994**	
Revenue (Adjusted)		**93,561**	**106,005**	**109,120**	**107,412**	**106,566**	**104,780**							
% YoY Growth	Edit Row			3%	-2%	-1%	-2%	3%	3%	2%	4%	3%	3%	
(-) Cost of Revenue		66,177	74,963	82,229	77,736	76,502	75,511	77,462	79,487	81,534	84,271	86,053	90,029	
(-) Cost of Revenue (GAAP)		66,177	74,963	82,229	77,736	76,502	75,511							
% of Revenue		71%	71%	75%	72%	72%	72%	72%	72%	72%	72%	72%	73%	
(=) Gross Profit		**27,384**	**31,042**	**26,891**	**29,676**	**30,064**	**29,269**	**30,249**	**31,091**	**31,641**	**32,913**	**34,195**	**33,965**	
% Margin	Edit Row	29%	29%	25%	28%	28%	28%	28%	28%	28%	28%	28%	27%	
(-) Operating Expenses/Income		20,817	22,422	22,957	23,867	24,498	24,495	24,908	25,458	25,926	26,474	27,245	26,024	
% of Revenue	Edit Row	22%	21%	21%	22%	23%	23%	23%	23%	23%	23%	23%	21%	
% YoY Growth			8%	2%	4%	3%	0%	2%	2%	2%	2%	3%	-4%	
(=) Operating Income		**6,567**	**8,620**	**3,934**	**5,809**	**5,566**	**4,774**	**5,342**	**5,633**	**5,716**	**6,439**	**6,949**	**7,941**	
% Margin		7%	8%	4%	5%	5%	5%	5%	5%	5%	5%	6%	6%	
(-) Tax on Operating Income		**1,345**	**1,897**	**657**	**1,180**	**1,170**	**973**	**1,143**	**1,197**	**1,243**	**1,399**	**1,502**	**1,711**	
% Tax Rate	Edit Row	22%	22%	19%	22%	22%	22%	21%	21%	22%	22%	22%	22%	
(=) NOPAT		**5,222**	**6,723**	**3,277**	**4,629**	**4,396**	**3,801**	**4,199**	**4,436**	**4,473**	**5,040**	**5,447**	**6,230**	
% Margin		6%	6%	3%	4%	4%	4%	4%	4%	4%	4%	5%	5%	
(+) Depreciation & Amortization		2,485	2,642	2,700	2,801	2,981	3,134	3,205	3,395	4,038	3,997	3,895	4,187	
% of Revenue	Edit Row	3%	2%	2%	3%	3%	3%	3%	3%	4%	3%	3%	3%	
% YoY Growth			6%	2%	4%	6%	5%	2%	6%	19%	-1%	-3%	8%	
(-) Capital Expenditure		2,649	3,544	5,528	4,806	2,891	3,727	4,891	4,908	5,065	5,129	5,295	5,235	
% of Revenue	Edit Row	3%	3%	5%	4%	3%	4%	5%	4%	4%	4%	4%	4%	
% YoY Growth			34%	56%	-13%	-40%	29%	31%	0%	3%	1%	3%	-1%	
(-) Changes in Net Working Capital		(2,724)	865	2,203	(709)	48	(93)	459	385	16	175	204	275	
% of Revenue	Edit Row	-3%	1%	2%	-1%	0%	0%	0%	0%	0%	0%	0%	0%	
(+) Changes in Net Long Term Deferred Tax Liabilities		(132)	576	630	284	(177)	(38)	255	194	107	71	128	167	
% of Revenue	Edit Row	0%	1%	1%	0%	0%	0%	0%	0%	0%	0%	0%	0%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**7,650**	**5,532**	**(1,124)**	**3,617**	**4,261**	**3,263**	**2,308**	**2,732**	**3,537**	**3,805**	**3,970**	**5,075**	**4,467**

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	75.70%	10.50%	8.00%
Debt	24.30%	4.50%	1.10%
Preferred Equity	0.00%	0.00%	0.00%
WACC			**9.88%**

C. Terminal Cash Flow

A **terminal growth rate of 5.6%** has been applied, reflecting expectations of long-term revenue growth broadly in line with Target's expansion in digital retail, owned brands and operational efficiencies. Given the company's established market position and resilient cash generation, the terminal assumption supports sustainable long-term growth without relying on aggressive operating improvements.

D. Enterprise Value

The DCF analysis values Target based on the present value of its projected Free Cash Flows and terminal value, capturing the company's ability to generate sustainable long-term cash returns. The valuation reflects improving cash flow generation rather than aggressive revenue growth, highlighting that the investment thesis is driven primarily by cash flow resilience and operational recovery.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	4,467
WACC	9.9%
Perpetuity Growth Rate	5.6%
Perpetuity Value at End of Year 5	110,248
Present Value of Perpetuity (@ 9.9% WACC)	68,835
(+) Present Value of Free Cash Flows (@ 9.9% WACC)	13,649
(=) Current Enterprise Value	**82,484**
Short Term Debt	1,133
(+) Long Term Debt	17,698
(-) Cash and Marketable Securities	3,534
(-) Current Net Debt	15,297
(-) Current Preferred and Minority Interest	-
(=) Equity Value	67,187
Shares outstanding	454
Estimated Value per Share (USD)	**147.93**
Current Price (USD)	133.97
Estimated Upside	**10%**

E. Equity Value

The DCF model estimates an intrinsic value of **USD 147.93 per share**, compared with the current market price of **USD 133.97**, implying an upside of approximately **10.4%**. The intrinsic value also exceeds the consensus target price of **USD 134.47**, indicating that the market has not fully recognised Target's long-term cash generation potential. Although the implied upside is moderate relative to some portfolio holdings, the combination of valuation support, resilient Free Cash Flow and consistent dividend generation justifies maintaining Target within the Value Stock Portfolio.

MULTIPLE-BASED VALUATION (EV/EBITDA)

The EV/EBITDA valuation provides a complementary assessment of Target's intrinsic value by benchmarking the company's enterprise value against its forecast operating earnings. Using the projected terminal EBITDA and an exit multiple consistent with comparable mature retailers, the model estimates an intrinsic value of **USD 142.37 per share**, compared with the current market price of **USD 133.97**, implying an upside of approximately **6.3%**.

Compared with the DCF valuation of **USD 147.93 per share** (10.4% upside), the multiple-based approach produces a more conservative estimate of intrinsic value. This difference reflects the market-based nature of EV/EBITDA valuation, which is influenced by prevailing sector trading multiples, whereas the DCF places greater emphasis on Target's long-term free cash flow generation and earnings recovery.

Despite the lower implied upside, both valuation methodologies indicate that Target is trading below its intrinsic value. The consistency between the DCF and EV/EBITDA results strengthens confidence in the investment thesis, supporting the company's continued inclusion within the Value Stock Portfolio as an attractively valued retailer with resilient cash generation and sustainable shareholder returns.

(=) Free Cash Flow		**7,650**	**5,532**	**(1,124)**	**3,617**	**4,261**	**3,263**	**2,308**	**2,732**	**3,537**	**3,805**	**3,970**	**5,075**	**4,467**
% Margin	Edit Row	8%	5%	-1%	3%	4%	3%	2%	2%	3%	3%	3%	4%	
% YoY Growth			-28%	-120%	-422%	18%	-23%	-29%	18%	29%	8%	4%	28%	
% of the Free Cash Flow to be discounted								55%	100%	100%	100%	100%	45%	
Period for Discount Factor (Mid-Year Convention)								0.28	1.05	2.05	3.05	4.05	4.78	
Discount Factor @ 9.9% WACC								0.97	0.91	0.82	0.75	0.68	0.64	
Present Value of Free Cash Flow (5 Years)								**1,239**	**2,475**	**2,916**	**2,855**	**2,711**	**1,454**	
EBITDA		9,052	11,262	6,634	8,610	8,547	7,908	8,546	9,028	9,754	10,436	10,844	12,129	11,421

EBITDA Multiple Method - Value per Share

	11,421
	9.9%
Exit Enterprise Value / EBITDA	9.3x
Terminal Value at End of Year 5	106,208
Present Value of Terminal Value (@ 9.9% WACC)	66,313
(+) Present Value of Free Cash Flows (@ 9.9% WACC)	13,649
(=) Current Enterprise Value	**79,961.8**
Short Term Debt	1,133
(+) Long Term Debt	17,698
(-) Cash and Marketable Securities	3,534
(-) Current Net Debt	15,297
(-) Current Preferred and Minority Interest	-
(=) Equity Value	64,665
Shares outstanding	454
Estimated Value per Share (USD)	**142.37**
Current Price (USD)	133.97
Estimated Upside	**6%**

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RISKS

A. Consumer Spending Risk

Target's earnings remain closely linked to discretionary consumer spending, particularly across apparel, home furnishings and other non-essential merchandise categories. A prolonged period of weak consumer confidence or persistent inflation could delay the projected recovery in revenue and EBITDA, reducing the forecast improvement in Free Cash Flow from **USD 3.3 billion in FY2026** to **USD 4.4 billion by FY2031** assumed in the valuation model. Slower earnings recovery would place downward pressure on the company's intrinsic value.

B. Margin Recovery Risk

The investment thesis assumes a gradual recovery in operating profitability following the post-pandemic normalisation in earnings. However, sustained pricing pressure, elevated labour costs or higher promotional activity could limit the expected recovery in EBITDA and operating margins. If profitability remains below forecast levels, both the DCF and EV/EBITDA valuations would be negatively affected, reducing the estimated upside currently indicated by the valuation models.

C. Competitive Risk

Target operates in a highly competitive retail environment against Walmart, Costco and Amazon, all of which continue to invest aggressively in pricing, fulfilment capabilities and digital platforms. Increased competitive intensity could reduce market share, compress margins and weaken cash generation. Maintaining differentiation through owned brands, omnichannel capabilities and customer loyalty will therefore remain critical to sustaining long-term shareholder value.

D. Valuation Risk

The DCF valuation estimates an intrinsic value of **USD 147.93 per share**, while the EV/EBITDA approach estimates **USD 142.37 per share**, compared with the current market price of **USD 133.97**. Although both methodologies indicate upside, the valuation remains sensitive to changes in key assumptions, particularly Free Cash Flow growth, terminal growth and the discount rate. Any deterioration in operating performance below forecast expectations would reduce the estimated intrinsic value and narrow the margin of safety available to investors.

CONCLUSION

Target remains a high-quality value investment supported by a resilient retail franchise, strong omnichannel capabilities and consistent long-term cash generation. Although profitability has moderated following the exceptional post-pandemic period, the company's financial forecasts indicate a gradual recovery in EBITDA and Free Cash Flow, reinforcing confidence in its long-term earnings potential.

The valuation analysis supports this investment thesis. The DCF model estimates an intrinsic value of **USD 147.93 per share**, representing an implied upside of approximately **10.4%** over the current market price of **USD 133.97**, while the EV/EBITDA valuation estimates a fair value of **USD 142.37 per share**, implying an upside of **6.3%**. The consistency across both valuation methodologies indicates that Target continues to trade below its intrinsic value despite near-term macroeconomic headwinds.

Given its attractive valuation, stable dividend profile, resilient cash flow generation and disciplined capital allocation, Target continues to satisfy the key characteristics of a value investment. Accordingly, we recommend **BUY**, as the company remains well positioned to deliver sustainable shareholder returns and long-term capital appreciation within the Value Stock Portfolio.